



“Foreign stock markets turning bearish; sentiments in local market turning euphoric [are risks]. Over the next year, the first half should be bullish while the next would be uncertain due to elections”

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“[The risks are] possible recession in developed markets; rising crude prices; forthcoming state elections. If the outcome is worse than market expectations, it could have a meaningful impact”

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that the bearish outlook on these sectors is transitory in nature due to a combination of global and domestic headwinds, and a reversal of certain macroeconomic indicators will again make some of them the flavour of the season.

For instance, in the case of metals, Sujan Hajra, Chief Economist and Executive Director of Anand Rathi Shares and Stock Brokers, says that while the prices of several commodities, including crude oil and food grains have recently risen, most metal prices have remained weak due to concerns about demand. “Metals are a cyclical sector globally, and demand from China has a significant impact on the sector’s performance... At the moment, however, the Chinese growth outlook doesn’t appear promising... We anticipate that the sector will underperform over the next 12 months.”

Incidentally, irrespective of the market cycle, there will always be certain sectors that most experts would be bullish about, while advising investors to stay away from certain others. So, what does that mean for investors, especially now when the markets have already corrected to a large extent after touching record highs?

THE FINAL LOW-DOWN

“We expect the current equity cycle to be analogous to the 2003-2008 bull cycle, when output growth rose sharply, inflation stayed stable and improvements in productivity drove a rise in investments,” states the Standard Chartered report. During that period, higher investments did not lead to a widening of the current account deficit as the rise in savings was led by an improvement in public savings (fiscal consolidation), and private corporate savings, the report adds.

In a similar context, Neeraj Chadawar, Head of Quantitative Equity Research at Axis Securities, says the Indian economy will continue to remain in the sweet spot of growth, which would in turn be the biggest driver of Indian equities going forward. “The improvement in the balance sheets of India Inc. is another positive attribute, and a significant one at that, as it will ensure that Indian equities are on track to deliver double-digit returns in the next two to three years, led by double-digit earnings growth,” he says.

Chadawar is not alone in being bullish. Amar Ambani, Group President and Head of Institutional Equities of YES Securities (India), is also “extremely bullish” on Indian equities, and believes that the long-term ‘margin of safety’ for Indian equities looks high. “Our self-sustaining consumption story, the government’s ongoing infra focus, and the expected pick-up in private capex from the PLI schemes, and the China+1 paradigm playing out are among the key long-term positives,” he says, adding that when FPI inflows come in strongly (like they did back in 2006) to complement the ongoing domestic liquidity flow into financial assets, Indian equities will definitely see euphoric growth.

The stock market seems to be an interesting place to be in right now. Whether one is a seasoned investor, or just a newbie making his or her first few bets, growth and returns ultimately boil down to how one perceives the risks, and whether they have done thorough due diligence before investing. At the end, one is reminded of what billionaire investor George Soros said: “It’s not whether you’re right or wrong that’s important, but how much money you make when you’re right, and how much you lose when you’re wrong.” **BT**

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